

the Government of India. A Select Committee of the British Parliament on Indian Finance laid down some restrictions to restrain the Government from exercising unbridled financial powers. It strongly recommended raising all loans in India, in order to cushion the impact on the rupee-pound sterling exchange rate.

Unforeseen liabilities

Around this time, a disquieting factor that hampered the financing of the railway infrastructure in India was the recurrence of scarcity and famines, a circumstance the establishment had not anticipated. In 1877, the Government scrambled to shore up its resources to 1.5 million pounds sterling, partly through fresh taxation, and the rest by exercising austerity measures. This resulted in the creation of the “Famine Insurance Fund”, expressly formed for catering to famine relief activities and the building of “productive” public works, including railways, and aimed at the prevention of famines. In 1878–79, a second Select Committee of the British Parliament took up the question of financing public works in India. It reiterated the existing policy aimed at restricting the annual expenditure on productive public works, whether from borrowed capital or of a revenue surplus, by limiting the same to 2.5 million pounds annually. Despite its good intentions, the Government could seldom restrict the annual expenditure on railway projects to below 3.5 to 4 million pounds.

Local investors

One of the heartening features of these new guidelines was the progressive interest and participation of Indian landowners, capitalists, and local governments in developing and managing the railway lines within their territories.

The Government on its part enabled this positive mood of Indian investors further by delegating to the provinces the power to raise debenture loans in the name of the secretary of state. The debenture holders were entitled to a share of the net profit of the enterprise. With the purchase of the East Indian Railway (EIR) by the Government in 1879, more and more local Governments came forward to participate in this great Indian railway “adventure”. By the end of 1881, up to 1,390 km of